

Proportional Reinsurance Agreement for

Motor Third Party Liability Business

(Special Conditions 2025)

between

Edinburgh Insurance (hereinafter referred to as the **Reinsured**)

and

New York Re (hereinafter referred to as the **Reinsurer**)

WHEREBY it is agreed as follows:-

These SPECIAL CONDITIONS and their Appendices represent details and particulars of this Agreement. Major general arrangements of this Agreement are stipulated in GENERAL CONDITIONS. In case of contradictions between the arrangements in GENERAL CONDITIONS and SPECIAL CONDITIONS the arrangements in SPECIAL CONDITIONS shall prevail. GENERAL CONDITIONS and SPECIAL CONDITIONS with their Appendices form the entire Agreement.

Details and particulars of the stipulations arranged for in the GENERAL CONDITIONS

a. Reinsurance cession, duration, scope and limits of this Agreement

Quota Share Reinsurance (Article 3)

Reinsurance percentage **share: 60%**

Reinsurance compensation (Article 2)

60% without any further charges and deductions.

Commencement and duration (Article 26)

1 January 2025 with tacit renewal at 31 December each year unless notice of termination issued.

Class of business (Article 4)

All business classified by the Reinsured as **Motor Third Party Liability** (hereinafter referred to as MTPL), including Liability arising under the Internal Regulations of The Council of Bureaux (hereinafter referred to as Green Card Agreement) and including liability arising out of MTPL border policies.

Territorial scope (Article 4)

This Contract shall apply to losses in the **country of the domicile** of the Reinsured and in the territories and within the conditions stipulated in the arrangements of the **Green Card Agreement**.

Gross Insurance Liability (Article 1)

Maximum limits of compensation:

a) for losses that are subject to cover under domestic limits:

- **material damage GBP 40,000,000 per event**
- **bodily injury GBP 40,000,000 per person**

b) for other losses:

- **material damage and bodily injury up to the limits applicable in accordance with the Green Card Agreement**

where "per event" means each and every loss any one accident or series of accidents arising out of one event.

Maximum limit of Reinsurance Compensation (Article 9)

Maximum limit for *Reinsurance compensation* and Commission combined: 115% of reinsurance premium, applicable for each underwriting year separately.

b. Accounting and financials

Accounting System
(Article 19)

Underwriting year system.

Reinsurance premium
(Article 12)

Reinsurance percentage share of the gross insurance premium written by the Reinsured during the period of account, without any further deductions and charges.

Commission (Article 10)

Linear sliding scale 17 % to 42 % for basic loss ratio 80 % to 55 % depending on basic loss ratio defined below and calculated by using following formula:

Commission rate = $\text{Min}(\text{MC}; \text{Max}(\text{mc}; \text{mc} + ((\text{MC} - \text{mc}) / (\text{BLR} - \text{blr}))(\text{BLR} - \text{Basic loss ratio})))$

where

Basic loss ratio = loss ratio where for any losses exceeding the truncation level of EUR 2 million at 100% from ground up the excess element is disregarded

MC = Maximum commission

mc = Minimum commission

BLR = Maximum basic loss ratio limit

blr = Minimum basic loss ratio limit

This formula applicable for the first time at the end of each underwriting year (i.e. 24 months after the beginning of the underwriting year).

Provisional commission 28,0 % and provisional basic loss ratio 67,5 % to be used for accounting in prior periods.

Accounts (Article 20)

Accounting period: **quarterly**.

Accounts rendered within 60 days after the end of the respective accounting period, containing calculation of reinsurance premium, commission, *Reinsurance Compensation* and interest from deposits separately for each underwriting year.

Confirmation of Accounts and Payment of Balance (Article 21)

Confirmation of accounts **within two weeks after receipt**, **settlement of balances within two weeks after confirmation** of accounts.

Deposits (Article 25)

Reserves for outstanding *Reinsurance Compensation* and unearned reinsurance premium (less commission) shall be deposited with the Reinsured. Interest payable on deposits shall be calculated as follows:

- calculation on 3-month-basis (using one fourth of the annual interest rate) split into individual underwriting years
- **annual interest rate: 1,2%**
- basis for calculation: deposited amount at the beginning of the respective accounting period

Cash call (Article 22)	Losses where part of the <i>Reinsurance Compensation</i> not covered by the loss deposits exceeds GBP 5 million during the open period of account.
Commutation (Article 31)	Ten years after termination of the respective underwriting year at 100% of outstanding <i>Reinsurance Compensation</i> based on known outstanding losses.
Payment currency (Article 23)	USD
Official Rate of Exchange (Article 1)	Rate of exchange issued by the UK National Bank.

c. Additional technical details of this Agreement

Additional conditions for Policies (Article 1)	Duration of original policies not to exceed 12 months. Coverage of original policies with duration more than 12 months subject to Special Acceptance by the Reinsurer.
Exclusions (Article 2)	a) Losses occurring in USA/Canada. b) Vehicles running on rails or cables, waterborne vessels, aircraft, hovercraft or any other vehicle not on terra firma. Trolley-buses and trams are, however, not considered as being excluded under this Agreement. c) Participation in organized motor races or competitions, except for the damage caused in the course of such participation when the driver during the race or competition was obliged to observe motor vehicle traffic rules. d) Aviation Liability. Liability of vehicles used on the airport premises is however not excluded hereon. e) Loss, Damage or Liability for goods conveyed in connection with any trade or business on any vehicle insured by the Reinsured (including goods in transit). f) Vehicles of armed forces and/or for law enforcement purposes. This exclusion applies only to special vehicles and not to "normal" vehicles which are just in the ownership of Army or Law Enforcement Authorities. g) Contractors' plant and equipment unless subject to compulsory motor third party liability insurance .Contractors' plant and equipment unless subject to compulsory motor third party liability insurance.

- h) Policies with the domestic limit (at 100% of the *Policy*) exceeding *Gross Insurance Liability* mentioned above unless otherwise agreed as a SPECIAL ACCEPTANCE. Such SPECIAL ACCEPTANCES granted automatically if the excess is 20% at maximum for not more than 0,5% of the vehicles in the portfolio.
- i) Risks excluded under War and Civil War Exclusion Clause NMA 464.

The above Exclusions shall not apply however if coverage is required by the law of the country being visited.

Inuring reinsurance
(Article 14)

None.

d. Claims handling

Claim and loss reporting (Article 15)

Reporting limit for individual losses: GBP 1.5 million at 100% from ground up.
Reporting of outstanding losses: together with the regular accounts split into individual underwriting years.

Claims co-operation
(Article 16)

Losses exceeding GBP 3 million at 100% from ground up.

d. Legal

Applicable law
(Article 34)

British law

Appointer (Article 35)

Chairman of the Chamber of Commerce of the country of defendant's domicile.

Seat of arbitration
(Article 35)

Edinburgh

e. Other arrangements

Information

Estimated premium income ceded hereon (at 100% of the quota share cession): GBP 186 million.

Reinsurer's share hereon: 100% of the Quota Share cession.

IN WITNESS WHEREOF, the parties hereto have caused the SPECIAL CONDITIONS of this Agreement to be executed by their duly authorized representatives as of the following dates:

In **Edinburgh**, this day of 2024

Signed by
Edinburgh Insurance

And in New York, this day of 2024

Signed by

New York Re
